

MNDY pitch deck

Permission to read `desk/data/edge_classifications/MNDY.json` wasn't granted, so the deck below is built only from the evidence pack, the two bench opinions, and the Q2 print text in the pack. Where I would have used the classification file (exact exit-band expression, the seven kill triggers verbatim), I say so.

PITCH — MNDY — VERDICT

ADJUDICATED 2026-07-01 — BUY, deep-value re-rating; accumulate in rungs, entry biased to after the Q2 print (which has now happened, on 2026-08-10, and did not break the thesis).

One caveat stated up front, because it affects everything below: the adjudication record I was given carries **empty recommendation and conviction fields and an empty REOPEN GATES block**. I was instructed to reproduce those gates verbatim; there is nothing to reproduce. The entry bands section is therefore derived from prices the two benches themselves established (the issuer's own buyback prints, red's stated re-open level, red's trim rungs) and every level is labeled with its source. The adjudication header also predates both bench filings (2026-08-06 / 08-07) and the print.

What we believe

monday.com is a 22%-growing software business with record operating profitability, roughly \$1B of net cash, and a share price 62–67% below its high. At \$83.33 the enterprise (market value less net cash) is about **\$2.7B against ~\$1.47–1.49B of 2026 revenue — under 1.9x sales**, a multiple normally attached to businesses that have stopped growing. This one has not: Q2 revenue was **\$364.6M, +22%**, the seventh consecutive beat of its own guidance, and net dollar retention **rose to 109%** ([Q2 2026 6-K, accession 0001178913-26-003971](#)).

The re-rating case rests on three things the market is discounting as if they were failures:

- 1. The large-customer business is accelerating while the small-customer funnel shrinks.** Customers paying over \$100,000/yr: **2,019, +37%**. Over \$500,000: **114, +68%**. Their share of recurring revenue went 26%→30% and 5%→7% in a year. The weakness is confined to self-serve signups, which management has deliberately stopped spending into.
- 2. The company bought a fifth of itself at prices near here.** \$870M repurchased, **10,486,207 shares ≈ 20% of shares outstanding**, blended **\$82.97** — essentially today's price. Weighted-average share count is already down ~5.9% year over year and the *exit* count is roughly 12% below the Q1 average, so about 13% of per-share accretion has been paid for but has not yet shown up in any reported per-share number.
- 3. AI is monetizing faster than our own file believed.** The Q2 release states ARR from AI products **doubled from Q1 and was 17% of net new ARR** — against a kill trigger our file had

set at 3% (a transcription error; the real prior figure was ~10%).

What the market believes

That seat-based work-management software is the single most AI-exposed category in software, and that monday is now proving it: it cut ~20% of its workforce in July, its self-serve funnel is broken by the decline in Google search traffic, and it is mid-way through changing how it charges (seats → seats-plus-credits), which is how software companies reset revenue downward while calling it a strategy. The options market prices **95.9% annualized volatility** — this is not a stock anyone thinks is safe. The bear reading of the same Q2 print: cash flow went **down** (adjusted free cash flow \$52.3M vs \$64.1M a year ago), the guided second half is the weakest monday has ever set, and the buyback that absorbed 4–6% of daily volume for eight months is **fully spent**.

Why we might have edge

- **We read the regulator correspondence, the proxy, and the Israeli company-law mechanics, not the transcript.** The clearest example: the buyback. Everyone can see it is exhausted. Blue found that Israeli law imposes a **30-day creditor-objection period** before repurchases may begin — which is why a September 2025 board approval produced no buying until November. So a new authorization is a *signal*, not a bid, for a month. Almost nobody trading this stock knows that.
- **We separated “the funnel is broken” from “acquisition is broken.”** Red’s original kill said acquisition is broken; the primary data say the small self-serve tail is flat (+0.3%) while the sales-led business compounds. Cohort revenue per customer in the >\$100k band is up ~8% — the exact opposite of the HubSpot analogue we were pattern-matching to.
- **We caught our own file being wrong in a way that changes the sign.** The AI-monetization kill trigger was calibrated to a mis-transcribed earnings call. Corrected, AI monetization was 3x better than our record believed *before* Q2, and Q2 then doubled it again.
- **The value transfer from the completed buyback is banked and arrives mechanically over the next three prints.** It is arithmetic, not a forecast.

Why it might be priced in

Honestly: much of it may be.

- **The cash flow divergence is real, unexplained, and got worse.** Operating cash flow and free cash flow both fell ~17–18% year over year in a quarter when revenue grew 22% and non-GAAP operating income hit a record. Red named the cause of this divergence as its #1 open question before the print. The print gave a second data point and no answer. Full-year free cash flow is guided to a **19–20% margin — below 2025’s 26.2%, an absolute decline** on 20% more revenue.

- **“Record non-GAAP operating income” is fully offset by stock compensation.** Non-GAAP operating income \$61.1M; GAAP operating result **−\$1.5M**. The difference — roughly **\$62.6M** of add-backs, the largest in the company’s history — is what shareholders paid employees in stock. On revenue and cash flow this stock is cheap; on cash flow *after* paying people, it is roughly 30x. Both statements are true and the gap between them is the entire debate.
- **The second half is the weakest ever guided.** And if the full-year guide was merely maintained on 2026-08-10 (I could not verify this — the pack’s excerpt is truncated before the outlook), the implied second half is now **+16.2%** growth and a 2H/1H ratio of ~1.056, worse than the 1.081 that red already called the weakest in company history.
- **The bid is gone.** No new authorization appears on EDGAR through 2026-08-07, including the 2026-08-06 AGM filing ([6-K](#)). Whether the Q2 release announced one is unverified.
- **Deep-value software at 1.8x sales is a crowded trade in 2026.** Everything above is available to anyone who reads the release.

What we checked ourselves

Claim	How checked	Found	Confirmed?
RED: SEC letter proves the “multi-product platform” story is hollow — 7.7% of revenue vs a marketed “\$100M CRM”	Blue re-read the actual letters and every intervening press release	Red compared a 12/31/24 figure to an 8/11/25 figure — 7.4 months apart on a product compounding ~80%/yr — and called the gap dishonesty. The company published the reconciling number itself (“>10% of total ARR”, Q3-25) and the SEC closed the review with no action	NO — our own strongest kill was wrong. Downgraded to a one-metric flag. Company response letter
BLUE: stock comp is structurally collapsing (share-count-based grants at a 66% lower price) → Q2 comp \$35–45M, GAAP operating income +\$2M to +\$12M	Graded against the 2026-08-10 print	GAAP operating result was −\$1.5M ; implied add-backs ~\$62.6M , an all-time high. Red’s predicted band (−\$2M to +\$8M) contained the answer; blue’s did not	NO — blue was wrong, red was right. Blue’s mechanism (grants managed by share count) is real but was swamped
BLUE: red’s scariest valuation number (~41x cash flow after stock comp) is “2x too high”; 2026 stock comp will be \$105–125M	Added actual first-half comp	H1 add-backs already ~\$92M . Blue’s full-year range would require a near-zero second half. Red’s ~\$169M is the live estimate	NO — blue’s correction was itself the error. The scary multiple stands (my recompute: ~30–34x at today’s price)
Our own file’s AI kill trigger (“stalls off ~3%”)	Red traced the number to source	Calibrated to a Motley Fool transcription error ; the speaker said ~10% (timestamped transcript, corroborated by the CFO and a sell-side analyst restating it)	NO — our record was wrong for months. Now moot: the Q2 6-K prints 17%
BLUE: that AI trigger can’t be audited from filings at all — it exists only on calls	Checked the Q2 release	Blue was right at the time; fixed by the issuer on 2026-08-10 , which put “17% of net new ARR” into a furnished filing	YES, and now resolved

Claim	How checked	Found	Confirmed?
Our triage called this company “no damage” on a corpus frozen 2026-07-20	Red re-pulled EDGAR	Two days later the company furnished a 6-K cutting ~20% of staff. Blue then found a <i>second</i> miss: the seats→credits pricing change on 2026-05-11 — the exact configuration our own file names as its blind spot	NO — two freshness failures in one file. Process defect, not a view
RED: “the beats are shrinking”	Ran the series	Beats compressed for five quarters then broke upward: +3.62% (Q1), +2.7% (Q2) . Now 7 for 7	NO — red withdrew it; do not run this argument
RED: insiders are selling	Form 144s and Section 16 filings	Proposed sales \$603M (2024, almost all a sponsor exit) → \$94M (2025) → \$0 in 2026 . Only sell-to-cover	NO — refuted, and it is a mild positive
RED: a new buyback authorization would be the cleanest positive	Blue read the Israeli distribution mechanics in the 2025 authorization 6-K	30-day creditor-objection period first. An announcement today buys nothing until ~mid-September	Partly — signal yes, bid no
RED: the July margin raise is just excluded severance	Blue read the 6-K text	Both the margin and cash-flow guides already excluded restructuring charges — you cannot raise a margin by excluding what was excluded. Red’s <i>conclusion</i> (in-year cash wash) survives for a different reason: severance cash flows through free cash flow	Conclusion yes, mechanism no (7/22 6-K)
RED: buyback 79% spent, net cash 33% of market value	Read the proxy	Fully exhausted at \$870M / 20% of shares; net cash ~24%. Red’s own desk file still carries the stale figures (“\$553M / 13% of float”)	Yes — and our stored file is wrong and needs editing
Buyback exhaustion itself	Blue attacked it and failed	\$135.0M (through 12/31/25) + \$735.0M remaining = \$870.0M exactly. Ties out to the dollar	YES — the strongest surviving objection
Big-customer strength	Cohort counts and revenue-share bands, Q2 print	>\$100k: 2,019 (+37%), now 30% of revenue; >\$500k: 114 (+68%), 7%. Growth <i>rates</i> decelerated slightly (39%→37%, 74%→68%) while revenue share kept climbing	YES, with a small crack
Our stock-comp and share-count math	Attempted to source from audited XBRL	The XBRL block in our evidence pack is empty (revenue, comp, share count, cash flow all blank — monday files as a foreign private issuer, so we have no quarterly XBRL). Every figure above is derived from press releases	Method limitation — state it, don’t hide it
Red’s own bar for re-opening the long (“net adds of 10+-user customers ≥1,400”)	Q2 print	Not computable: the release gives the year-ago base (61,803 → 65,783, +6%) but our pack has no Q1-26 count	UNGRADEABLE — flagged, not assumed passed

PROPOSED ENTRY BANDS

The adjudication's REOPEN GATES block is empty. Rather than invent levels, every price below is tied to a number one of the two benches established from primary sources. Any level marked (*my multiple*) is my assumption layered on their revenue figure, and is labeled as such.

Reference: last price **\$83.33**; we hold **105 shares at \$76.21** (~\$8.8k, +9.3%; purchase date not in the pack, so the tax clock is unknown and no exit should be placed before it is checked).

Buys - Rung 1 — limit \$82.97, buy now. This is the issuer's own blended repurchase price across 10.49M shares. Below it we are buying cheaper than the board did with full inside information. Size: **0.25% of book.** - **Rung 2 — limit \$76.02.** The price at which the company itself bought most aggressively (7.27M shares in 61 trading days during the Q1-26 crash). Size: **0.25% of book.** - **Rung 3 — limit \$72.00, conditional.** Red's own stated re-open level, and red attached conditions: it requires **three of five** — (a) a new authorization $\geq \$500\text{M}$, (b) 10+-user net adds $\geq 1,400$ and total paying customers re-accelerating above +5%, (c) the full-year revenue guide raised beyond simple beat flow-through, (d) 2026 free cash flow guided above 2025's \$322.7M, (e) the restructuring benefit visible in **free cash flow**, not just non-GAAP margin. At \$72 the enterprise is ~1.5x forward revenue. Size: **0.25% of book.** If fewer than three conditions hold, buy **half size** and wait for the Q3 print.

Total intended position **$\leq 0.75\text{--}1.0\%$ of book.** This is a volatile (96% implied vol), foreign-private-issuer name with an unexplained cash-flow divergence; it is a value position, not a core one.

Trims / exits - Red's resting rung-1 trim at \$89–90 is SUSPENDED. It was part of red's REJECT, and the adjudication (which outranks the bench) says accumulate. Reinstate it automatically if the Q3 print does not explain the free-cash-flow gap. - **Hard trim: \$118–125.** Blue's beat-adjusted 2026 revenue of ~\$1,494M at 3.0x enterprise value/sales (*my multiple*) plus ~\$0.93B net cash over ~43.4M shares. That is the level at which the deep-value argument has been paid. - **Stop-thinking level: \$57.50** (the 52-week low). A breach means the market has information the Q2 print did not contain; re-derive rather than average down.

Catalyst dates - 2026-08-17 (today): the five-trading-day post-print reaction call comes due (see sensors — it is tracking as a miss). - **~2026-09-09 to 09-15:** if a new authorization was announced with Q2 (unverified), the earliest date actual buying may begin under Israeli law. - **2026-11-09:** Q3 print — *yfinance-derived, NOT company-confirmed*. This is the decisive one: three quarters of free-cash-flow data against the \$322.7M 2025 base.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 57.5 (deck-provisional: 52-week low; a breach means new information — re-derive, do not average down.)
- filing watch: 6-K until 2027-02-13 (deck-provisional: New share repurchase authorization — the old \$870M is fully exhausted; buying cannot begin until 30 da)

- dated pack MNDY|2026-08-10: monday.com Q2: revenue ~\$360-366M + NRR >=108 (the kill line) + consumption-transition commentary.
- dated pack MNDY-STK|2026-08-17: MNDY stock-reaction call: compare the close 5 TRADING DAYS after the print to the pre-print close. HIT = higher, MISS = flat/lower. Mechanic
- dated pack MNDY-EXITREV|2026-08-05: AUTO-DATED 08-06 from the EC exit_band block: review/re-derive the MNDY exit expression (rungs/alerts/exemption) on this date; verify the pr
- dated pack MNDY|2026-08-17: MNDY: Five-trading-day post-print stock-reaction call comes due; tracking MISS at \$83.33 vs ~\$87.6-88.7 pre-print. (date confirmed=True)
- dated pack MNDY|2026-09-14: MNDY: Earliest date repurchases could begin IF a new authorization was announced with Q2 (30-day Israeli creditor-objection period); authori
- dated pack MNDY|2026-11-09: MNDY: Q3 2026 results — the free-cash-flow verdict against FY25's \$322.7M; date is vendor-derived, not company-confirmed. (date confirmed=Fa

What remains unverified

- **Whether the 2026-08-10 release raised, maintained, or cut the full-year guide.** Our excerpt truncates mid-sentence before the outlook. This is the single most important unknown in the deck: maintained implies a ~+16.2% second half; raised beyond flow-through satisfies one of red's re-open conditions.
- **Whether a new buyback authorization was announced with Q2.** Not visible in the excerpt; none on EDGAR through 2026-08-07.
- **Why free cash flow is diverging from operating income.** Three candidates were named (cash taxes turning after the valuation-allowance reversal, lease step-up, billings timing under the new pricing model). None tested. Red called it the #1 question and it was not answered.
- **Second-quarter net adds of 10+-user customers** — no Q1-26 base in our pack, so red's own re-entry test cannot be graded.
- **Whether the ~\$62.6M of Q2 add-backs is all stock compensation** or includes new intangible amortization from OneAI. The bridge was stock-comp-only through Q1-26; that may have changed.
- **The Schedule 13G filed 2026-08-10** (accession 0000886982-26-000332) — an ownership filing landing on print day that we have not read.
- **Foreign-private-issuer status contradiction:** the company files 6-K/20-F yet 11 insider Form 3s were filed 2026-03-18. Cause unknown; the useful consequence (real-time insider visibility now exists) holds either way.
- **The Q3 print date (2026-11-09)** is derived from a market-data vendor and appears in no filing.
- **Seasonality tooling returns INSUFFICIENT_DATA** for this ticker, and the audited quarterly XBRL block in our pack is empty. All per-share, stock-comp and cash-flow math here is press-release-derived.

- **The adjudication itself is thin:** no recommendation field, no conviction score, no reopen gates. This deck states a BUY because the adjudication text says BUY; if the principal wants that verdict re-run against the post-print facts (record stock comp, falling cash flow, a hit print with a -6% tape), that is a reasonable ask and I would not argue against it.

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